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EDITORIAL

It is with great pleasure and a deep sense of academic fulfillment that we present the maiden edition of the Public Sector Accounting and Finance Journal (PSAFJ), published by ANAN University, Kwall. This inaugural issue marks a significant milestone in the University's commitment to advancing scholarship, policy, and practice in the field of public sector accounting, finance, and governance.

In an era when nations are striving for transparency, accountability, and fiscal sustainability, the role of public sector accounting and finance has never been more critical. The journal is therefore conceived as a platform for intellectual engagement, rigorous research, and policy discourse that contribute meaningfully to the strengthening of public financial management systems, good governance, and sustainable development in Nigeria and beyond.

This maiden edition features ten scholarly articles drawn from a wide spectrum of research interests and methodologies within the field. The papers collectively address critical issues ranging from public sector financial reporting and accountability, budgeting reforms, internal control mechanisms, audit quality, fiscal transparency, to the application of emerging technologies in public finance management. Each contribution reflects the authors' depth of research and commitment to the continuous improvement of public sector governance and accountability.

COLLEGE OF PUBLIC SECTOR ACCOUNTING
ANUK Public Sector Accounting and Finance Journal (APSAFJ)

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To provide a platform for researchers and academics to publish research papers and articles within the research domains of public sector accounting, public finance, public economics, environmental, oil and gas accounting, public financial management, taxation and fiscal policy, public policy and finance, macroeconomics and development, public treasury management, and other related areas..

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The standard format for content is as follows;

1. Introduction

2. Statement of Research Problem

3. Research Hypotheses or Objectives

*Review of Related Literature

4. Data Presentation & Analysis

5. Research Findings & Discussion of Findings

6. Conclusion, Recommendation & Policy Implication

7. References

8. Appendices

Or

1. **Introduction** (Background of the study, research gap, research hypotheses, scope of study, significance of the study).

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2.1 Conceptual Review

2.2 Empirical Review

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3.0 Methodology

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EFFECT OF TAX ADMINISTRATION EFFICIENCY ON TAX COMPLIANCE AMONG SMALL AND MEDIUM SCALE ENTERPRISES IN NORTH CENTRAL OF NIGERIA

ABUBAKAR LAMINO MUHAMMAD

Abstract

This study investigated the Effect of Tax administration efficiency on Tax compliance among Small and Medium-sized Enterprises (SMEs) in North Central of Nigeria. The research focused on four key indicators of Tax administration efficiency: Electronic tax filing, Taxpayer education, Tax audit frequency, and Ease of registration, with Tax compliance as the Dependent variable. Employing a survey research design, the study targeted a population of 2,344 SMEs and analyzed responses from a final sample size of 375. Data were analyzed using multiple regression analysis. The findings revealed that all four Independent variables had positive and statistically significant effects on Tax compliance. Among them, Electronic tax filing and Tax audit frequency exerted the strongest influence, while Taxpayer education and Ease of registration also contributed meaningfully. The model explained 45.7% of the variance in Tax compliance, indicating a substantial influence of Tax administration efficiency. Based on these findings, the study recommends enhancing digital tax systems, expanding taxpayer education, conducting strategic audits, and simplifying registration processes to improve compliance rates among SMEs in the region.

Key Words: Electronic Tax Filing, Taxpayer Education, Tax Audit Frequency, and Ease of Registration, Tax Compliance

1.0 INTRODUCTION

Tax compliance by Small and Medium Enterprises (SMEs) plays a crucial role in enhancing domestic revenue mobilization and fostering economic stability across the globe. SMEs represent a significant portion of businesses worldwide, contributing approximately 90% of businesses and over 50% of employment globally (World Bank, 2023). Tax compliance ensures equitable tax burden distribution, enhances public service delivery, and reduces reliance on external borrowing (OECD, 2022). Globally, increased SME tax compliance is linked to improved fiscal capacity and the achievement of sustainable development goals (UNCTAD, 2023). Compliance fosters transparency, minimizes tax evasion, and promotes formalization of the informal sector, which is prevalent in many developing countries (Joshi et al., 2022).

Across Africa, tax compliance challenges stem from limited tax awareness, complex tax systems, and a large informal economy. Studies indicate that enhancing taxpayer education and simplifying tax regulations can improve compliance rates. In West Africa, countries like Senegal are focusing on improving tax compliance to reduce dependence on external funding. Senegal's Prime Minister emphasized the importance of fair tax contributions and strict budgetary discipline to enhance domestic revenue.

In Nigeria, tax compliance is influenced by factors such as trust in government, education, and employment status. Studies have shown that transparency, accountability, and people-oriented tax policies can enhance compliance. Studies from North Central Nigeria highlight that factors like tax morale, education, and deterrence measures influence tax compliance among Small and Medium Enterprises (SMEs). Notably, tax holidays and education have a positive impact, while punitive deterrence measures may have a negative effect. Research focusing on SMEs in states in North-Central Nigeria, identified high tax rates and complex filing procedures as significant barriers to compliance. Moreover, governments that simplify tax systems and increase awareness improve compliance rates among SMEs (Bird & Zolt, 2021).

Technology adoption, such as e-filing systems, has also contributed significantly to global SME compliance (OECD, 2022). Nonetheless, compliance costs and administrative burdens remain major barriers in many regions (Khwaja & Iyer, 2021). Thus, promoting SME tax compliance globally is vital for broad-based development and inclusive economic growth.

Efficient tax administration plays a critical role in enhancing revenue generation, minimizing tax evasion, and fostering voluntary tax compliance (OECD, 2022). It ensures transparent processes, reduces administrative costs, and improves

taxpayer trust through simplified procedures and digitalization (IMF, 2023). When tax systems are effectively managed they contribute to economic stability and public confidence in governance (Bird & Zolt, 2021). Efficient administration also facilitates accurate tax assessments and fair enforcement, which are essential for equity and accountability (World Bank, 2023).

In developing countries, reforms in tax administration such as electronic tax filing systems, taxpayer education, tax audit frequency and ease of registration have significantly increased tax-to-GDP ratios and reduced corruption (UNCTAD, 2023). Additionally, automation and data analytics have improved audit outcomes and reduced compliance costs for taxpayers (Khwaja & Iyer, 2021). For example, electronic tax filing has significantly enhanced compliance in Nigeria by reducing human contact, delays, and administrative inefficiencies. According to Olaoye and Ogundipe (2022), e-tax platforms such as the Integrated Tax Administration System (ITAS) have streamlined tax procedures and increased taxpayer participation. These systems also minimize corruption and increase transparency in tax collection (Oladipupo & Obazee, 2021). By simplifying the process, taxpayers are more likely to fulfill obligations promptly. Thus, digital platforms encourage broader and easier tax compliance in Nigeria.

Also, taxpayer education improves compliance by increasing awareness of tax obligations and simplifying technical processes. In Nigeria, Adeyemi and Irekpita (2022) found that many SMEs default due to poor understanding of tax policies. Tax education campaigns by the Federal Inland Revenue Service (FIRS) have helped to improve voluntary compliance (Agbaje & Akinyemi, 2021). Educated taxpayers are less likely to evade taxes and more likely to file accurately. Therefore, awareness and literacy are central to tax compliance among Nigerian SMEs.

Besides, frequent and risk-based audits enhance compliance by increasing the perceived risk of detection among taxpayers. Ezejiofor and Ezenwoke (2022) noted that tax audits in Nigeria encourage honesty in returns, particularly among medium-scale enterprises. However, overly aggressive or arbitrary audits may erode trust in tax authorities (Okoye & Gbegi, 2021). Balanced and fair audit systems promote voluntary compliance while discouraging evasion. Hence, structured audit frequency is essential for effective tax administration in Nigeria.

Furthermore, simplifying the tax registration process has been found to significantly improve compliance rates in Nigeria. According to Ogundana et al. (2023), complex and bureaucratic registration discourages SMEs from formalizing their operations. Initiatives like e-registration portals have reduced barriers and promoted inclusiveness (Olaoye & Ekundayo, 2021). When taxpayers find the system accessible, they are more inclined to register and pay taxes. Thus, simplifying registration is a practical step toward broadening Nigeria's tax base.

Small and Medium-sized Enterprises (SMEs) in Nigeria play a crucial role in economic development, contributing significantly to employment generation, poverty reduction, and GDP growth. According to the Small and Medium Enterprises Development Agency of Nigeria (SMEDAN), SMEs account for over 90% of businesses in Nigeria and contribute approximately 48% to the national GDP (SMEDAN & NBS, 2021). Despite their importance, SMEs in Nigeria often face challenges such as limited access to finance, poor infrastructure, regulatory bottlenecks, and low tax compliance, which hinder their full potential (Adebisi & Gbegi, 2013). Consequently getting the SMEs to comply with taxes can contribute significantly to tax revenue

Statement of Problem

One of the primary benefits of tax compliance by SMEs is increased government revenue, which is critical for funding infrastructure, social services, and development projects (OECD, 2015). When SMEs comply with tax obligations, they contribute to broadening the tax base, reducing dependence on external borrowing. Secondly, tax compliance enhances access to finance. Compliant SMEs often maintain accurate financial records and tax filings, which improves their creditworthiness and increases their chances of securing loans from financial institutions (Atawodi & Ojeka, 2012). Lenders are more inclined to support businesses that operate transparently and can demonstrate a clear history of tax responsibility.

Despite the strategic importance of tax administration efficiency in enhancing tax compliance, the level of compliance among Small and Medium Enterprises (SMEs) in Nigeria remains significantly low (Adeyemi & Irekpita, 2022). Although, several reforms have been introduced by the FIRS which include digital tax systems and taxpayer education,

empirical studies show a persistent gap between policy implementation and actual taxpayer behavior (Olaoye & Ogundipe, 2022). Existing literature has largely focused on general taxpayer behavior without isolating SMEs, creating a scope gap that limits targeted policy recommendations. Additionally, most studies have adopted descriptive or correlational designs without employing robust causal inference methods such as regression indicating a methodological gap (Ezejiofor & Ezenwoke, 2022).

There is also a geographical gap, as research in this area is heavily concentrated in Southern and Eastern Nigeria, neglecting states in the North Central region like Niger, Kogi, Kwara, Plateau, and Nasarawa States, where tax challenges may differ (Ogundana et al., 2023). Most importantly, studies often overlook specific variables such as ease of registration, audit frequency, and digital infrastructure, leading to variable gaps in explaining the full effect of tax administration efficiency on compliance. Therefore, a more comprehensive, regionally inclusive, and theoretically grounded study is essential to bridge these multifaceted gaps and enhance SME tax compliance in Nigeria. It is against this background that this study is investigating the effect of tax administration efficiency on tax compliance among SMEs in North Central Nigeria.

Research Questions

The following research questions were raised:

- i. What is the effect of Electronic Tax Filing Systems on Tax Compliance among SMEs in North Central of Nigeria.
- ii. What is the effect of Taxpayer Education on Tax Compliance among SMEs in North Central of Nigeria.
- iii. What is the effect Tax Audit Frequency on Tax Compliance among SMEs in North Central of Nigeria.
- iv. What is the effect of Ease of Registration on Tax Compliance among SMEs in North Central of Nigeria.

Objectives of the Study

The main objective of this study is to examine the Effect of Tax Administration Efficiency on Tax Compliance, Among Small and Medium Scale Enterprises In North Central OF Nigeria. The specific objectives of this study are to:

- i. Investigate the effect of Electronic Tax Filing Systems on Tax Compliance among SMEs in North Central of Nigeria.

- ii. Determine the effect of Taxpayer Education on Tax Compliance among SMEs in North Central of Nigeria.
- iii. Examine the effect Tax Audit Frequency on Tax Compliance among SMEs in North Central of Nigeria.
- iv. Determine the effect of Ease of Registration on Tax Compliance among SMEs in North Central of Nigeria.

Hypotheses

H₀₁: There is no significant effect of Electronic Tax Filing Systems on Tax Compliance among SMEs in North Central of Nigeria.

H₀₂: There is no significant effect of Taxpayer Education on Tax Compliance among SMEs in North Central of Nigeria.

H₀₃: There is no significant effect of Tax Audit Frequency on Tax Compliance among SMEs in North Central of Nigeria.

H₀₄: There is no significant effect of Ease of Registration on Tax Compliance among SMEs in North Central of Nigeria.

2.0 LITERATURE REVIEW

Tax administration efficiency refers to the capacity of tax authorities to collect taxes effectively using minimal resources while ensuring transparency, equity, and accountability. Efficient administration involves streamlined processes, automation, reduced compliance costs, and effective enforcement mechanisms (Olaoye & Ekundayo, 2021). In Nigeria, inefficiencies such as bureaucratic delays and corruption hinder compliance among SMEs (Adeyemi & Irekpita, 2022). Effective systems ensure timely collection, minimize tax evasion, and build public trust. Efficiency also includes proper training of staff, reliable databases, and responsive taxpayer services. It supports fiscal sustainability by enhancing voluntary compliance. Thus, efficiency in tax administration plays a foundational role in strengthening Nigeria's tax system.

Electronic tax filing systems (e-filing) are digital platforms that allow taxpayers to file and pay taxes online, reducing the need for manual processes. These systems enhance convenience, reduce processing time, and minimize human error (Oladipupo & Obazee, 2021). In Nigeria,

the Federal Inland Revenue Service (FIRS) has implemented the Integrated Tax Administration System (ITAS) to improve service delivery. Olaoye and Ogundipe (2022) found that e-filing significantly increases compliance by simplifying procedures for SMEs. E-filing also fosters transparency and reduces opportunities for tax-related corruption. When digital systems are user-friendly and reliable, they positively influence tax behavior. Thus, e-tax systems are critical tools for modern tax compliance enhancement.

Tax-payer education refers to the process of informing and training taxpayers about their rights, obligations, and procedures to ensure accurate and timely compliance. It aims to reduce ignorance and misconceptions about taxation, which are major barriers to compliance among SMEs in Nigeria (Agbaje & Akinyemi, 2021). Adeyemi and Irekpita (2022) assert that awareness initiatives have improved voluntary compliance in many parts of the country. Education programs may include workshops, media campaigns, and online resources offered by the FIRS. When taxpayers are informed, they are less likely to evade taxes or make filing errors. Tax education is, therefore, a behavioral and informational tool to promote compliance.

Tax audit frequency refers to how often tax authorities conduct audits to verify the accuracy of taxpayers' financial declarations. Frequent and risk-based audits can deter evasion and encourage accurate reporting (Ezejiofor & Ezenwoke, 2022). In Nigeria, audit systems help enforce compliance, especially where informal operations are common. However, Okoye and Gbegi (2021) caution that excessive or arbitrary audits may create fear or resentment among SMEs. Effective auditing requires a balance between enforcement and fairness. When audits are systematic and transparent, they foster accountability and reinforce voluntary compliance.

Ease of registration refers to how simple and accessible it is for businesses to register with tax authorities. Complex or time-consuming procedures discourage SMEs from formalizing their operations, leading to low compliance (Ogundana et al., 2023). In Nigeria, efforts have been made to reduce bottlenecks through online registration platforms and simplified requirements. Olaoye and Ekundayo (2021) note that accessible registration boosts the tax net by encouraging informal businesses to comply. When the registration process is clear and efficient, more enterprises are likely to engage with the tax system. Hence, simplifying

registration is a crucial step toward improving overall tax compliance.

Conceptual Review

The paper under review explores the nexus between tax administration efficiency and tax compliance among Small and Medium Scale Enterprises (SMEs) in the North Central region of Nigeria. This thematic focus is both timely and relevant, considering the crucial role SMEs play in economic development and the persistent challenge of low tax compliance in Nigeria. The paper seeks to understand how improvements in the administration of tax particularly in areas like taxpayer services, enforcement, and technology affect the willingness and ability of SMEs to comply with tax regulations.

Taxation remains a critical source of government revenue globally, and particularly in developing economies like Nigeria where oil revenue volatility necessitates diversification of income sources. The small and medium-scale enterprise (SME) sector, being a significant contributor to economic output and employment, is a vital component of this diversification strategy. However, the problem of low tax compliance among SMEs undermines revenue generation efforts.

This paper seeks to investigate the effect of tax administration efficiency on tax compliance among SMEs within North Central Nigeria—a region encompassing states with diverse economic activities, demographic compositions, and administrative systems. The conceptual review offers a deep exploration of the underlying constructs, theories, and contextual relevance of the topic, laying the foundation for empirical investigation.

Tax Administration Efficiency

Tax administration efficiency refers to the ability of tax authorities to effectively implement tax policies, ensure compliance, and facilitate easy and fair taxation, using minimal resources and time. Key dimensions include: Transparency of tax procedures, Efficiency in taxpayer registration, assessment, and collection, Effective use of Information and Communication Technologies (ICT), Simplification of tax laws and procedures and Prompt response to taxpayer complaints and queries

An efficient tax administration builds taxpayer trust, reduces the cost of compliance, curbs

corruption, and ultimately improves tax morale and compliance. Efficient tax administration is crucial for improving tax compliance, especially among SMEs. It fosters a fair tax system, increases government revenue, and supports sustainable development.

Tax Compliance

Tax compliance is defined as the willingness and ability of taxpayers to adhere to tax laws and regulations. It is multidimensional and can be categorized into: Voluntary compliance (Where taxpayers willingly meet obligations without enforcement), Enforced compliance (Where compliance is achieved through audits, penalties, and legal pressure) and Administrative compliance: Fulfillment of filing, record-keeping, and reporting obligations.

Tax compliance is the degree to which taxpayers (in this case, SMEs) meet their tax obligations voluntarily. This includes timely and accurate filing of returns, full disclosure of income, and prompt payment of taxes due. Compliance can be influenced by multiple factors—administrative, psychological, economic, and legal. Tax Compliance is influenced by several factors, including the perceived fairness of the tax system, trust in tax authorities, level of tax education, cost of compliance, and effectiveness of enforcement mechanisms.

Small and Medium Scale Enterprises (SMEs)

Small and Medium Scale Enterprises, SMEs in Nigeria constitute over 90% of businesses and significantly contribute to GDP and employment. However, they often operate in informal sectors, with limited interaction with formal tax systems, making compliance complex. Their challenges include poor record-keeping, low tax literacy, and mistrust in government.

In Nigeria, SMEs is defined based on employment size and annual turnover. These businesses are characterized by: In-formal or semi-formal structures, Low tax literacy and limited financial reporting capacity, Cash-based operations with weak record-keeping systems and Significant potential to contribute to tax revenue if efficiently integrated into the formal tax system. Due to these characteristics, SMEs often perceive taxation as burdensome and may avoid tax obligations if the tax system seems to be inefficient, corrupt, or overly complex.

Empirical Reviews

Starting with electronic tax filing, Olaoye and Ogundipe (2022) examined the influence of electronic tax filing on tax compliance among SMEs in Lagos, Ogun, and Oyo States in Southwest Nigeria. The study addressed the persistent challenge of low adoption rates of e-filing platforms, often linked to inadequate digital literacy and insufficient internet infrastructure. The authors utilized a survey research design, selecting 400 SMEs through stratified sampling to ensure balanced representation across the states. Data were analyzed using multiple regression to test the relationship between e-filing and compliance behavior.

Their findings showed a significant positive relationship SMEs utilizing e-filing platforms demonstrated higher compliance levels than those filing manually. Recommendations emphasized the need for expanded ICT training for SME operators and investment in broadband infrastructure to improve access. However, the study relied solely on quantitative data, thereby limiting the depth of insight into behavioral and motivational factors influencing e-filing adoption.

Oladipupo and Obazee (2021) assessed how electronic tax systems affect tax compliance and revenue generation among SMEs in Edo State. The central problem was whether e-filing reduces compliance burdens for SME taxpayers. A descriptive survey design was adopted, with 300 SME owners randomly selected from the Federal Inland Revenue Service (FIRS) registry. The authors used SPSS to perform regression analysis on the data collected. Their results indicated that the adoption of electronic tax systems significantly reduced filing errors and increased taxpayer satisfaction. The study recommended continuous upgrades of digital tax infrastructure and intensified taxpayer education. However, the lack of longitudinal data limited the ability to track compliance trends over time. A time-series analysis could have better captured behavioral changes following the introduction of e-tax systems.

For taxpayer education, Adeyemi and Irekpita (2022) investigated the effect of taxpayer education on voluntary tax compliance among SMEs in Benin City, Edo State. The study responded to a critical issue: the low level of tax awareness and understanding among SME operators. A cross-sectional survey design was employed, with a random sample of 250 SMEs. Pearson correlation and regression techniques were used for analysis. The results revealed a strong positive correlation between taxpayer

education and compliance. SMEs that participated in tax education programs demonstrated higher levels of voluntary compliance. The authors recommended ongoing tax literacy campaigns using simplified and relatable language.

Agbaje and Akinyemi (2021) explored how tax education influences compliance behavior among SMEs in Lagos State. The study was motivated by the increasing emphasis on FIRS outreach campaigns and their potential effect on taxpayer attitudes. A structured questionnaire was distributed to 300 SME operators selected via convenience sampling. The analysis combined descriptive statistics, ANOVA, and regression techniques. Findings showed that accessible and sustained tax education significantly enhanced tax compliance. The authors advocated incorporating tax education into business registration processes and increasing the frequency of outreach campaigns.

For tax audit frequency, Ezejiofor and Ezenwoke (2022) studied how the frequency of tax audits influences compliance among SMEs in Anambra State. The study responded to the question of whether regular audits deter non-compliance among SMEs. Using purposive sampling, 210 SMEs with previous audit histories were selected. Structured questionnaires provided the primary data, which were analyzed using regression analysis. The results indicated that frequent and transparent audits positively influenced compliance. The study recommended implementing a risk-based audit approach and ensuring fairness and transparency to foster trust among taxpayers. However, that the use of self-reported data might result in biased responses, as some SME owners could underreport non-compliance.

Okoye and Gbegi (2021) analyzed the effect of audit frequency on tax compliance among SMEs in Nasarawa and Kogi States. The study was driven by persistent tax evasion despite audit interventions. A cluster sampling approach was used to select 350 SME operators. Chi-square and regression analysis were applied to examine the relationship between audit frequency and compliance. The findings revealed that regular but non-punitive audits improved compliance rates. The study recommended auditor training on ethical practices and adoption of risk-based audits to target high-risk SMEs. A limitation was the exclusion of informal SMEs, which form a significant portion of the tax base and could have altered the findings had they been included.

Considering ease of registration, Ogundana, Ayoola, and Fagboro (2023) investigated the effect of tax registration simplicity on compliance behavior among SMEs in Abuja. The study addressed how complicated registration procedures discourage tax participation. SMEs registered with CAC and FIRS constituted the study population, from which 370 were selected using systematic sampling. The researchers employed Structural Equation Modeling (SEM) for data analysis. Results confirmed that simplified digital registration increased compliance. Recommendations included deploying electronic registration kiosks in public places and providing real-time customer support services. However, the limitation of their sample was to urban SMEs only, thus excluding insights from rural entrepreneurs who may face greater barriers to e-registration.

Olaoye and Ekundayo (2021) analyzed how ease of tax registration influences compliance among SMEs in Kwara State. They identified challenges such as bureaucratic delays and unclear documentation as key deterrents to registration. Using a survey design, data were collected from 280 purposively selected SMEs. Regression analysis was employed to test the hypothesis. Results showed that simplified and streamlined procedures enhanced compliance. The authors suggested integrating CAC and FIRS systems into a unified online registration portal.

Theoretical Reviews

The Fiscal Exchange Theory, propounded by Richard A. Musgrave in 1959, explains tax compliance behavior as a reciprocal relationship between the government and taxpayers. According to this theory, taxpayers are more willing to comply with tax obligations when they perceive that public services received are commensurate with the taxes paid (Musgrave, 1959). The core assumption is that tax compliance is enhanced when there is transparency, accountability, and efficiency in tax administration. A key limitation of the theory is that it downplays the deterrent role of sanctions and audits, focusing more on trust and perceived fairness, which may not hold in highly corrupt or informal economies (Torgler, 2003).

In the context of this study, the theory supports that electronic tax-filing systems can improve compliance by reducing delays and enhancing service delivery. Taxpayer education fosters awareness and trust, making taxpayers more

confident in the government's use of funds. Tax audit frequency, when fair and transparent, reinforces the perception of a well-governed tax system. Lastly, ease of registration demonstrates administrative responsiveness, encouraging voluntary compliance. Thus, Fiscal Exchange Theory provides a useful lens for assessing how efficient tax administration mechanisms can enhance SME tax compliance in North Central Nigeria.

3.0 METHODOLOGY

The study adopted Survey research design and the Population of this study are the SME operators in Nasarawa, Kogi, Kwara, Niger and Plateau States. The Choice of these is that they adequately represent North Central region of Nigeria in the context of this study.

Table 1. Population and Sample Size Distribution

North Central States	Population	Proportion	Sample increase	Sample Size
Nasarawa	974	974/2,344*341	142*1.1	156
Kogi	435	435/2,344*341	63*1.1	69
Kwara	234	234/2,344*341	34*1.1	37
Niger	245	245/2,344*341	36*1.1	40
Plateau	456	435/2,344*341	66*1.1	73
TOTAL	2,344		341*1.1	375

Source: State Ministries of Trade, Commerce, and Investment of States

Using Yamane sample size determination formula,

$$n = \frac{N}{1+N(e^2)}$$

$$\frac{2344}{1+2344(0.0025)}$$

$$= 341$$

The sample size of 341 was arrived and sampling technique adopted by the study is Stratified proportionate sampling technique. Consequently, the sample size of the study based on stratified proportionate sampling technique after considering 10% attrition rate, which gave a final sample size of 375.

A 25 items structured questionnaire (five questions for each Independent variable and five questions also, for Dependent variable) was used to collect data and the independent variables of the study were electronic tax filing systems, taxpayer education, tax audit frequency and ease of registration. The reliability of the constructs were tested using Cronbach alpha with results of 0.71, 0.72, 0.73 and 0.75, respectively. The dependent variable was tax compliance with a Cronbach alpha results of 0.79 which indicated that they were all reliable enough for the study, because they exceeded benchmark of 0.7.

The modified five- point Likert response scale of Strongly Disagree, Disagree, Undecided, Agree

and Strongly Agree was used and were awarded scores ranging from 1, 2, 3 4 and 5 respectively. The data collected was analyzed using different statistical procedures. The null hypotheses were tested using multiple regression through the aid of SPSS (Version) 23 software to find the strength of the relationship between tax compliance as the dependent variable and electronic tax filing systems, taxpayer education, tax audit frequency, ease of registration as independent variables of the study. The functional relationship of the multiple regression is given as follows.

$$TAXC = f(ELECT, TAXPE, TAXAF, EASER, \dots \dots \dots (1)$$

Model Specification

With the aid of this equation the study arrived at a model which is mathematically presented as follows

$$\text{TAXC}_{it} = \beta_0 + \beta_1 \text{ELECT}_{it} + \beta_2 \text{TAXPE}_{it} + \beta_3 \text{TAXAF}_{it} + \beta_4 \text{EASER}_{it} + U_{it}, \dots \dots \dots (2)$$

Where, TAXC = Tax Compliance as measured by response from questionnaires.
ELECT=Electronic tax filing as measured by response from questionnaires.

TAXPE=Tax payer education as measured by response from questionnaires,

TAXAF= Tax audit Frequency as measured by response from questionnaires.

EASER =Ease of Registration as measured by response from questionnaires

Bo is the intercept while B1-4 is the coefficient of the independent variables.

A Priori expectation is that all the independent variables will have positive effect on Tax compliance.

Table 2. Descriptive Statistics Of Variables

Variables	Obs	Minimum	Maximum	Mean	St Deviation
Tax Compliance	345	2.60	5.00	3.9820	.55888
Electronic Tax Filling	345	2.00	5.00	4.1583	.64276
Taxpayer Education	345	2.00	5.00	3.9177	.81480
Tax audit Frequency	345	2.40	5.00	4.2139	.59926
Ease of Registration	345	2.80	5.00	4.3959	.41300

Source: SPSS Outputs 2025.

The descriptive statistics for the study, on the effect of tax administration efficiency on tax compliance among SMEs in North Central of Nigeria reveal generally positive perceptions across all measured variables. Tax compliance, the dependent variable, recorded a mean score of 3.9820 on a 5-point scale, with a minimum of 2.60 and a maximum of 5.00. This indicates a relatively high level of compliance among SMEs, while the standard deviation of 0.55888 suggests moderate consistency in the responses.

Among the independent variables, electronic tax filing had a mean score of 4.1583, showing that most respondents acknowledged the availability and effectiveness of electronic filing systems. The standard deviation of 0.64276 reflects a moderate variation in how SMEs experience or engage with electronic tax filing platforms. Taxpayer education yielded a mean of 3.9177, indicating that education efforts, were positively received overall. However, the relatively high standard deviation of 0.81480 implies a wider spread in perceptions, possibly due to unequal access to or impact of taxpayer education initiatives across the SME population.

Tax audit frequency had a mean of 4.2139 and a standard deviation of 0.59926, suggesting that tax audits are perceived as frequent and

4.0 DATA ANALYSIS, RESULTS AND DISCUSSION OF FINDINGS

Table 2 provides a detailed summary of the descriptive statistics for the key variables examined in the study, which focuses on The effect of tax administration efficiency on tax compliance by SMES in North Central of Nigeria. The variables include tax compliance, electronic tax filing systems, taxpayer education, tax audit frequency, ease of registration, based on a total of 345 responses received from 375 administered questionnaires representing 92% return of copies of questionnaire.

consistent, with relatively uniform experiences among the respondents. Ease of registration emerged as the most positively rated variable, with a mean of 4.3959. It also showed the least variability in responses, as evidenced by the lowest standard deviation of 0.41300. This implies a strong consensus among SMEs that the tax registration process is simple and accessible.

Overall, all variables had mean scores above 3.90, indicating favorable perceptions of tax administration efficiency elements. The consistency in high ratings particularly for ease of registration and tax audit frequency suggests that these components are likely contributing to improved tax compliance among SMEs in North Central Nigeria. However, the notable variability in responses regarding taxpayer education highlights the need for more inclusive and effective dissemination strategies to ensure uniform understanding and participation.

The correlation matrix presented in Table 3 offers insights into the strength and direction of the relationships between tax compliance and each of the independent variables electronic tax filing, taxpayer education, tax audit frequency, and ease of registration alongside the variance inflation factors (VIFs), which assess multi-collinearity among the predictors.

Table 3 Correlation Matrix of Dependent and Independent variables

Variables	Tax Compliance	Electronic Tax Filing	Taxpayer Education	Tax audit Frequency	Ease of Registration	VIF
Tax Compliance	1.000	.599**	.458**	.528**	.514**	
Electronic Tax Filing	.599**	1.000	.468**	.478**	.520**	1.876
Taxpayer Education	.458**	.468**	1.000	.463**	.286**	1.675
Tax audit Frequency	.528**	.478**	.463**	1.000	.228**	1.458
Ease of Registration	.514**	.520**	.286**	.228**	1.000	1.314

Source: SPSS Outputs 2025.

Tax compliance, the dependent variable, shows a strong and positive correlation with electronic tax filing ($r = 0.599^{**}$), indicating that improvements in digital filing systems are significantly associated with higher compliance among SMEs in North Central of Nigeria. This suggests that when tax procedures are simplified through electronic platforms, SMEs are more likely to comply with tax obligations.

Taxpayer education also correlates positively with tax compliance ($r = 0.458^{**}$), though the relationship is moderate. This implies that as SMEs receive more targeted and relevant tax education, their level of compliance tends to improve. However, the slightly weaker correlation compared to electronic filing may reflect inconsistencies in the reach or effectiveness of taxpayer education programs.

Tax audit frequency is similarly moderately correlated with tax compliance ($r = 0.528^{**}$), suggesting that the presence of regular or anticipated audits has a positive impact on compliance behavior. This supports the deterrence theory, which posits that increased likelihood of detection and enforcement encourages taxpayers to act in accordance with tax laws.

Ease of registration also demonstrates a positive and statistically significant relationship with tax compliance ($r = 0.514^{**}$). This highlights the role of accessible and user-friendly registration processes in encouraging SMEs to comply with

tax regulations, likely by reducing the administrative burden and entry barriers to formal tax systems.

In terms of multi-collinearity, the VIF values for all independent variables are well below the critical threshold of 10, with electronic tax filing at 1.876, taxpayer education at 1.675, tax audit frequency at 1.458, and ease of registration at 1.314. These values indicate a low risk of multi-collinearity, suggesting that the predictors do not excessively overlap and can be reliably included together in regression analysis without distorting the model's estimates.

Overall, the correlation analysis confirms that all four components of tax administration efficiency such as electronic tax filing, taxpayer education, tax audit frequency, and ease of registration are positively and significantly associated with tax compliance among SMEs. Electronic tax filing exhibits the strongest correlation, followed by tax audit frequency, ease of registration, and taxpayer education, respectively. These findings underscore the importance of an efficient, transparent, and supportive tax administration system in enhancing voluntary compliance among small and medium-scale enterprises.

The regression analysis presented in Table 4 provides a comprehensive view of the individual and collective effects of variables of tax administration efficiency on tax compliance among SMEs in North Central of Nigeria. The model includes four independent variables: electronic tax filing, taxpayer education, tax audit frequency, and ease of registration.

Table 4 Regression Results

Ind. Variables	Coefficients OLS	T Statistics OLS	P-Values
Constants	0.447	1.735	.084
Electronic Tax Filing	0.267	4.884	.000
Taxpayer Education	0.175	3.381	.001
Tax audit Frequency	0.242	5.004	.000
Ease of Registration	0.193	4.215	.000
R-Squared	0.457		

Adj. R-Squared	0.450
F-Statistic	71.452
P-Value	0.0000

Source: SPSS Outputs 2025.

Findings and Implications of Findings

Starting with electronic tax filing, the regression coefficient is 0.267, with a t-statistic of 4.884 and a p-value of 0.000. This result indicates a positive and statistically significant relationship between electronic tax filing and tax compliance at the 1% significance level. The coefficient suggests that a one-unit improvement in the electronic tax filing process would lead to an estimated 0.267 increase in tax compliance, holding other factors constant. This finding highlights the critical role that digitalization and user-friendly e-filing systems play in promoting compliance among SMEs. This finding supports the studies conducted by Olaoye and Ogundipe (2022) and Oladipupo and Obazee (2021) who found a positive and significant effect of electronic tax filling on tax compliance.

Taxpayer education also has a positive and significant effect on tax compliance, with a regression coefficient of 0.175, a t-statistic of 3.381, and a p-value of 0.001. This implies that as efforts to educate taxpayers improve, compliance levels also rise. Although the magnitude of the effect is smaller than that of electronic filing, the significance level still demonstrates that taxpayer education is a meaningful contributor to compliance behavior. This finding is in tandem with the studies conducted by Adeyemi and Irekpita (2022) and Agbaje and Akinyemi (2021) that found a positive and significant effect of taxpayer education on tax compliance.

The coefficient for tax audit frequency is 0.242, with a t-statistic of 5.004 and a p-value of 0.000. This indicates a strong and statistically significant relationship, suggesting that frequent or strategically targeted audits are effective in improving tax compliance among SMEs. The strength of this relationship supports theories of deterrence and enforcement as key mechanisms in promoting adherence to tax obligations. This finding confirms the studies carried out by Ezejiofor and Ezenwoke (2022) and Okoye and Gbegi (2021) who found a positive and significant effect of tax audit frequency on tax compliance.

Ease of registration also significantly influences tax compliance, with a coefficient of 0.193, a t-

statistic of 4.215, and a p-value of 0.000. This positive relationship confirms that simplifying the registration process can lead to higher compliance levels. When SMEs face fewer bureaucratic and procedural hurdles during registration, they are more likely to participate in the formal tax system and maintain compliance. This finding corroborates the studies conducted by Olaoye and Ekundayo (2021) and Ogundana, Ayoola, and Fagboro (2023) who found a positive and significant effect of ease of registration on tax compliance.

The model's overall explanatory power is reflected in the R-squared value of 0.457, indicating that approximately 45.7% of the variation in tax compliance among SMEs is explained by the four independent variables. The adjusted R-squared of 0.450 accounts for the degrees of freedom and confirms the model's robustness. Furthermore, the F-statistic of 71.452 and the associated p-value of 0.0000 signify that the model is statistically significant as a whole, meaning that the combination of independent variables reliably predicts the dependent variable.

In summary, the regression results affirm that all four dimensions of tax administration efficiency electronic tax filing, taxpayer education, tax audit frequency, and ease of registration have positive and statistically significant effects on tax compliance among SMEs in North Central of Nigeria. Electronic tax filing and tax audit frequency have the largest effects, followed by ease of registration and taxpayer education. These findings reinforce the importance of modernizing tax systems, investing in education, strengthening enforcement, and reducing administrative barriers to improve compliance in the SME sector.

5.0 CONCLUSION AND RECOMMENDATION

Based on the regression analysis, the study concludes that tax administration efficiency significantly influences tax compliance among SMEs in North Central of Nigeria. All four variables examined electronic tax filing, taxpayer education, tax audit frequency, and ease of registration exhibited positive and statistically significant effects on tax compliance. Among them, electronic tax filing and tax audit

frequency showed the strongest impact, emphasizing the importance of digitalization and regulatory enforcement. Ease of registration and taxpayer education also contributed meaningfully, highlighting the value of simplifying processes and building awareness. The model's R-squared value of 0.457 indicates that nearly 46% of the variation in tax compliance is explained by these variables. Therefore, enhancing the efficiency of tax administration through improved technology, targeted education, regular audits, and streamlined procedures is essential to fostering higher compliance levels among SMEs in the region.

Based on the findings, it is recommended that tax authorities of States in North Central of Nigeria prioritize the enhancement of electronic tax filing systems. This includes ensuring that digital platforms are user-friendly, reliable, and accessible to all categories of SMEs. Regular updates, system support, and mobile-friendly options should be provided to encourage consistent usage and reduce filing errors.

For taxpayer education, targeted outreach programs should be intensified to address the knowledge gaps among SME operators. Workshops, online tutorials, and simplified tax guides in local languages can help demystify tax obligations and procedures. Collaborations with business associations and local government agencies can also improve the reach and impact of such educational efforts.

Regarding tax audit frequency, tax administrators should adopt a strategic and risk-based audit approach to maintain a strong enforcement presence without discouraging voluntary compliance. Audits should be conducted transparently and fairly, accompanied by feedback mechanisms to ensure taxpayer understanding and cooperation.

Finally, to improve ease of registration, the government should further streamline the tax registration process by reducing documentation requirements and integrating registration services across platforms. One-stop registration centers and online portals with real-time assistance can significantly lower entry barriers and encourage informal businesses to formalize and comply.

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Descriptive Statistics

	N	Minimum	Maximum	Mean	Std. Deviation
Tax Compliance	345	2.60	5.00	3.9820	.55888
Electronic Tax Filing	345	2.00	5.00	4.1583	.64276
Taxpayer Education	345	2.00	5.00	3.9177	.81480
Tax audit Frequency	345	2.40	5.00	4.2139	.59926
Ease of Registration	345	2.80	5.00	4.3959	.41300
Valid N (listwise)	345				

Correlations

			Tax Compliance	Electronic Tax Filing	Taxpayer Education	Tax audit Frequency	Ease of Registration
Spearman's rho	Tax Compliance	Correlation Coefficient Sig. (2-tailed) N	1.000 . 345	.599** .000 345	.458** .000 345	.528** .000 345	.514** .000 345
	Electronic Tax Filing	Correlation Coefficient Sig. (2-tailed) N	.599** .000 345	1.000 . 345	.468** .000 345	.478** .000 345	.520** .000 345
	Taxpayer Education	Correlation Coefficient Sig. (2-tailed) N	.458** .000 345	.468** .000 345	1.000 . 345	.463** .000 345	.286** .000 345
	Tax audit Frequency	Correlation Coefficient Sig. (2-tailed) N	.528** .000 345	.478** .000 345	.463** .000 345	1.000 . 345	.228** .000 345
	Ease of Registration	Correlation Coefficient Sig. (2-tailed) N	.514** .000 345	.520** .000 345	.286** .000 345	.228** .000 345	1.000 . 345

** . Correlation is significant at the 0.01 level (2-tailed).

Model Summary^b

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate	Change Statistics					Durbin-Watson
					R Square Change	F Change	df1	df2	Sig. F Change	
1	.676 ^a	.457	.450	.41436	.457	71.452	4	340	.000	1.892

a. Predictors: (Constant), Ease of Registration, Tax audit Frequency, Taxpayer Education, Electronic Tax Filing

b. Dependent Variable: Tax Compliance

ANOVA^a

Model		Sum of Squares	Df	Mean Square	F	Sig.
1	Regression	49.072	4	12.268	71.452	.000 ^b
	Residual	58.376	340	.172		
	Total	107.449	344			

a. Dependent Variable: Tax Compliance

b. Predictors: (Constant), Ease of Registration, Tax audit Frequency, Taxpayer Education, Electronic Tax Filing

Coefficients^a

Model	Unstandardized Coefficients		Standardized Coefficients	T	Sig.	95.0% Confidence Interval for B		Correlations			Collinearity Statistics	
	B	Std. Error	Beta			Lower Bound	Upper Bound	Zero-order	Partial	Partial	Tolerance	VIF
1 (Constant)	.447	.258		1.735	.084	-.060	.955					
Electronic Tax Filing	.232	.048	.267	4.884	.000	.139	.326	.581	.256	.195	.533	1.876
Taxpayer Education	.120	.035	.175	3.381	.001	.050	.190	.518	.180	.135	.597	1.675
Tax audit Frequency	.225	.045	.242	5.004	.000	.137	.314	.514	.262	.200	.686	1.458
Ease of Registration	.261	.062	.193	4.215	.000	.139	.383	.448	.223	.168	.761	1.314

a. Dependent Variable: Tax Compliance